Session 8: Financial Instruments IV: Case Study, Fair Value Accounting at Berkshire Hathaway

By the end of this session you must know how IFRS9 classifies and measures equity investments (FVTPL default vs. the FVOCI election), why the FVOCI election never recycles gains and losses to profit or loss, how to work through the profit-or-loss/OCI mechanics of an equity investment held under each approach, and be able to connect the Berkshire Hathaway case to the broader debate over what net income should communicate.

Plan

1. The Case Shock: A Real Loss, or an Accounting Artefact?
2. IFRS9 Equity Investments: FVTPL Default and the FVOCI Election
3. Applying the Decision Process to Berkshire
4. Worked Example: FVTPL vs. FVOCI for an Equity Investment
5. The Debate: What Should Net Income Communicate?
6. Common Mistakes and Exam Traps
7. Must Know Absolutely

1. The Case Shock: A Real Loss, or an Accounting Artefact?

- In Q1 2018, Berkshire Hathaway reported a net loss attributable to shareholders of $(1.138) billion, alongside operating earnings of $5.288 billion. A headline result that looked like a business in trouble even though the underlying operations were solidly profitable.
- The gap is explained by a change in US GAAP: unrealised gains and losses on equity securities were newly required to flow through earnings, and Q1 2018's investment loss line included approximately $6.2 billion of unrealised losses on Berkshire's equity portfolio.
- Previously, this kind of fair-value movement affected shareholders' equity directly (via OCI) but never touched earnings. So the new rule did not change Berkshire's economics, only where the same number is reported.

The case is built around a US GAAP rule change (ASU 2016-01), not an IFRS change. The session uses it as a real-world hook to then ask "how would this look under IFRS9 instead?" Do not cite ASU 2016-01 as an IFRS rule in an exam answer. Use it only to frame the comparison. Do not present ASU 2016-01 as an IFRS rule in an exam answer, it is real-world context framing the comparison, not IFRS9 law.

2. IFRS9 Equity Investments: FVTPL Default and the FVOCI Election

Default classification for equity investments (IFRS9): fair value through profit or loss (FVTPL). Any fair-value change is recognised in profit or loss for the period.

FVOCI election: an irrevocable election, made instrument-by-instrument at initial recognition, to present fair-value changes of an eligible non-trading equity instrument in other comprehensive income (OCI) instead of profit or loss.

- Four features of the FVOCI election are exam-critical, precisely because they are easy to get backwards:

Must know:
• The election is available only for equity instruments that are **not held for trading**
• It is made **instrument-by-instrument**, not as a blanket policy for a whole portfolio
• It is made **at initial recognition** and is **irrevocable**: it cannot be changed or reversed later
• Dividends on the instrument still generally go to profit or loss, **even under the FVOCI election**: only fair-value changes go to OCI
• Fair-value gains/losses accumulated in OCI are **never recycled to profit or loss**, not even on disposal of the investment, and there is **no separate expected-credit-loss impairment model** for equity FVOCI (unlike debt instruments)

3. Applying the Decision Process to Berkshire

The case works through a standard decision sequence that is worth memorising as a checklist for any financial-instrument classification question:

1. Classify the instrument under IAS32 (financial asset / financial liability / equity, from the issuer's perspective. Session 5).
2. Measure the financial asset initially at fair value (IFRS9. Session 6).

3. Determine subsequent measurement: for debt instruments, apply the business-model-plus-SPPI test (amortised cost / FVOCI / FVPL). For equity instruments, apply the FVTPL default, with a possible FVOCI election.
4. Decide financial statement presentation: profit or loss vs. OCI, and what that choice implies for what net income is meant to capture.

Applied to Berkshire's major equity holdings, the case asks:

- Is each holding an equity instrument from Berkshire's perspective?
- Is it held for trading or managed as a long-term strategic holding?
- Was any FVOCI election actually documented at initial recognition?
- The crux of the debate: what do investors lose or gain if fair-value changes on a long-term, non-trading portfolio bypass net income entirely under an FVOCI election?

4. Worked Example: FVTPL vs. FVOCI for an Equity Investment

Example (class exercise setup): an equity investment is bought for an initial cost of 100. At year-end its fair value is 75, and a dividend of 4 is received during the year. In the following year it is sold for proceeds of 90.

Under **FVTPL** (the default):

- The year-end fair-value loss of 25 (100 → 75) is recognised in profit or loss, alongside the dividend income of 4.
- On disposal the following year, the gain of 15 (75 → 90) is again recognised in profit or loss.
- Total comprehensive income across the two years nets to the same overall economic result (dividend plus the total price movement from 100 to 90), but each period's profit-or-loss figure moves with the fair-value swings.

Under the **IFRS9 equity FVOCI election**:

- The year-end fair-value loss of 25 is recognised in OCI, not profit or loss. So that year's profit or loss shows only the dividend of 4, materially different from the FVTPL case.
- On disposal, the further fair-value gain of 15 is also recognised in OCI, not profit or loss, and, critically, the accumulated OCI balance is **not** reclassified ("recycled") to profit or loss at the point of sale.
- It may be transferred directly within equity (e.g. to retained earnings), but profit or loss for the disposal year again shows only dividend income, never the disposal gain/loss itself.

5. The Debate: What Should Net Income Communicate?

The case closes on three perspectives that recur across fair-value-accounting debates generally, and are worth being able to reproduce in an open-question answer:

- **Berkshire/Buffett's view:** quarterly investment gains and losses on a long-term equity portfolio can obscure the trend in underlying operating performance, since they reflect short-term market noise rather than a change in the business.
- **Standard setter's view:** current fair values are relevant and comparable across entities, and net income should reflect market-value movements as they occur rather than deferring them.
- **Investor/analyst's view:** the practical answer is to use net income, OCI, operating earnings and portfolio disclosures together, rather than relying on any single summary number.
- The case's own framing is useful to remember directly: it is "a presentation case more than a valuation case."
- Nobody disputes what the equity portfolio is worth. The entire debate is about which financial statement line should show its movements, and what that choice implies for how readers interpret net income as a performance measure.

6. Common Mistakes and Exam Traps

- Believing the FVOCI election is available for equity instruments held for trading. It is explicitly restricted to non-trading equity instruments.
- Forgetting that dividends still hit profit or loss even under the FVOCI election. Only fair-value changes are diverted to OCI, not all income from the instrument.
- Assuming FVOCI gains/losses eventually reach profit or loss on sale, as debt-FVOCI does. Equity-FVOCI explicitly never recycles. This is the single most tested distinction between debt-FVOCI (Session 6) and equity-FVOCI.
- Treating the case's US GAAP rule change (ASU 2016-01, which forced equity fair-value changes into earnings) as describing IFRS9's default treatment. Under IFRS9, FVTPL is already the equity default (so this "shock" is a smaller change under IFRS than it was under pre-2018 US GAAP).

- Missing that the FVOCI election is irrevocable and instrument-by-instrument. An entity cannot elect FVOCI for a whole portfolio as a policy, nor change its mind on a given holding later.

7. Must Know Absolutely

Must know:
• Equity investments default to FVTPL under IFRS9. FVOCI is an irrevocable, instrument-by-instrument election at initial recognition, restricted to non-trading holdings
• Under FVOCI: fair-value changes → OCI. Dividends → still profit or loss. On disposal, no recycling of OCI to profit or loss, and no separate ECL impairment model
• Decision sequence: IAS32 classification → IFRS9 initial measurement at fair value → subsequent measurement (debt: business model + SPPI, equity: FVTPL default/FVOCI election) → presentation (P&L vs. OCI)
• The Berkshire case is fundamentally about *presentation*, not valuation. The debate is where a correctly-measured fair-value change should be shown, not what the fair value is